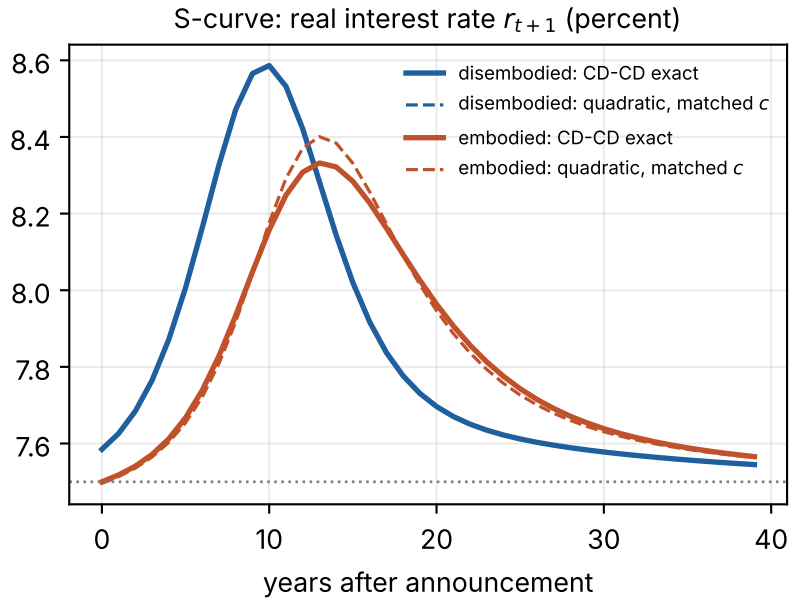
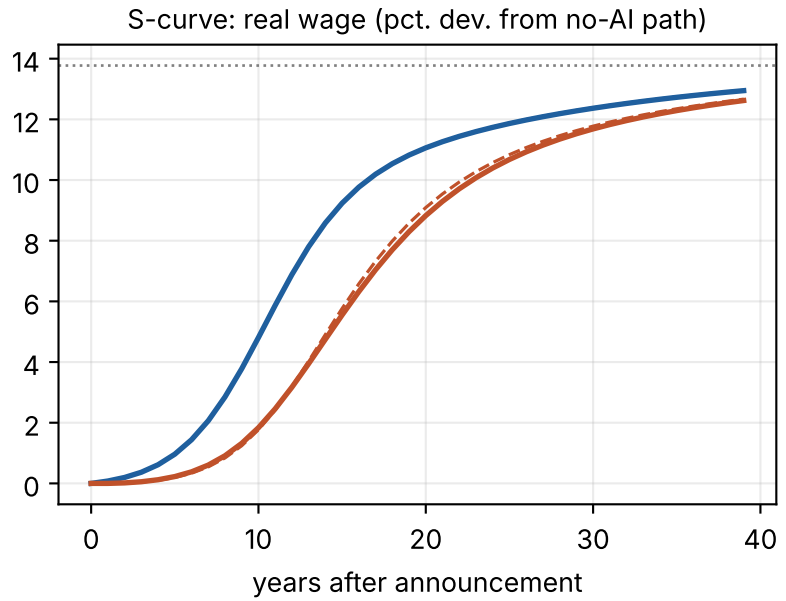
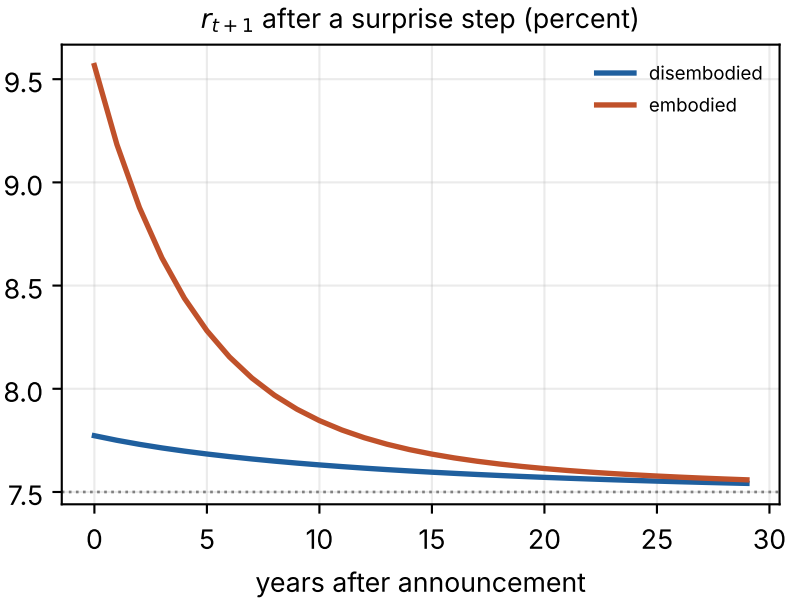

S-curve: real interest rate r_{t+1} (percent)
disembodied: CD-CD exact
disembodied: quadratic, matched c
embodied: CD-CD exact
embodied: quadratic, matched c
8.6
8.4
8.2
8.0
7.8
7.6
0
10
20
30
40
years after announcement


S-curve: real wage (pct. dev. from no-AI path)
14
12
10
8
6
4
2
0
0
10
20
30
40
years after announcement


r_{t+1} after a surprise step (percent)
disembodied
embodied
9.5
9.0
8.5
8.0
7.5
0
5
10
15
20
25
30
years after announcement